COURSE

Junior Cycle Business Studies (NCCA)

Economic indicators

Strand 3: Our economy · 3.9 Economic indicators; 3.3

Revision for Strand 3: Our economy: each firm works it out on its own deals, in euros.

Class **Junior Cycle Business Studies** Topic **Economic indicators**

THE LESSON

Setup	2 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	TASK 1 **Rates and car sales**	TASK 2 **Unemployment rises**

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 3 **Rate rise effects**	TASK 4 **Loan interest rise**	**B2B deal**

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 5 **Euro falls: effect**	TASK 6 **Staff real income**	**B2B deal**

Final questions	3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments	Buy property or funds. The value can rise or fall.
Operations	**Buying**	Hire the Procurement Specialist or the Stock Controller for the round.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

Interest rates rise. Many of your buyers pay for their cars with a loan.

What is the most likely effect on your sales?

PICK ONE

- ○ No change: buyers need cars
- ✔ **Sales fall as loans cost more**
- ○ Sales rise as prices fall
- ○ Sales rise as savers earn more

Why: Higher interest makes loans dearer, so fewer people buy on credit.

Task 2

ROUND 1

Unemployment in your area rises sharply.

Which two effects on your firm are most likely?

PICK TWO

- ○ Banks lend more freely
- ✔ **Fewer buyers for new cars**
- ○ Higher wages to keep staff
- ✔ **More buyers want cheaper cars**
- ○ More buyers want premium models

Why: Less income means fewer big purchases, and buyers trade down.

Task 3

ROUND 2

The European Central Bank raises interest rates.

Put the effects in order, first to last?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Car loans cost more each month**
2. **Fewer people buy on credit**
3. **Your sales fall**
4. **You order fewer cars**

Why: Dearer loans, fewer buyers, lower sales, so you buy less stock.

Task 4

ROUND 2

Interest rates rise. Your stock loan's rate follows.

Rise in the interest a year?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Stock loan	**€20,000**
Interest a year, before	**7%**
Interest a year, now	**10%**

METHOD

Rise = loan × (interest now – interest before)

€20,000 × (10% − 7%) = €600

Why: Higher rates raise the cost of your own borrowing too.

Task 5

ROUND 3

The euro falls sharply against the dollar. You import your cars from the United States.

What should you expect, and why?

PICK A OR B AND GIVE A REASON

- ✔ **Higher costs, lower profit per car**
- ○ Lower costs, higher profit per car

Why: A weaker euro buys fewer dollars, so imports cost more in euros.

Task 6

ROUND 3

Prices in the shops rise 8% this year. Your staff get a 3% pay rise.

What happens to their real income?

PICK ONE

- ✔ **It falls by about 5%**
- ○ It rises by about 11%
- ○ It rises by about 3%
- ○ It stays the same

Why: Pay rises more slowly than prices, so it buys about 5% less.

Final questions

6
questions for each pupil

50
questions in the Irish set

0
of them on economic indicators

The Irish question set has no questions about economic indicators yet. The game draws 6 from the lesson topic the teacher picks.